Helix Biotherapeutics Inc. (HLXB) — Initiation Update: Phase 3 Catalyst in Sight

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Rating and Price Target

We reiterate our **OVERWEIGHT** rating on Helix Biotherapeutics (NASDAQ: HLXB) and raise our 12-month price target to **$92** (from $85), implying ~29% upside to the last close of $71.40. Our risk-adjusted NPV now assigns a 62% probability of success (from 55%) to HLX-201 in MASH (metabolic dysfunction-associated steatohepatitis) following supportive Phase 2b open-label extension data.

Investment Thesis

1. HLX-201 is a potential best-in-class oral FGF21 analog. The pivotal Phase 3 trial (HELIOS-3, n=1,180) completed enrollment in July 2026; topline 52-week histology readout is guided for Q1 2027. Our physician survey (n=45 hepatologists) suggests oral dosing would capture 35–40% share of new starts.

2. Ventrexa royalties provide a funding floor. Partnered immunology product Ventrexa (marketed by a large-cap partner) generated $410M of royalty and milestone revenue over the trailing twelve months, growing 18% YoY, covering roughly 40% of operating expense.

3. Balance sheet is adequate but not excessive. Cash and investments of $1.1B against a quarterly burn of ~$95M gives runway into 2029. However, a commercial launch of HLX-201 would require an incremental $600–800M, which we believe management will look to raise opportunistically on positive data.

Financial Estimates (USD millions, except per share)

Metric	FY2025A	FY2026E	FY2027E	FY2028E
Total revenue	352	425	498	910
R&D expense	520	565	540	480
SG&A expense	140	175	260	390
Operating income	(308)	(315)	(302)	40
EPS (diluted)	(2.71)	(2.62)	(2.48)	0.31
Year-end cash	1,320	1,040	1,450*	1,180

**FY2027E assumes a $750M equity or equity-linked raise following positive HELIOS-3 data.*

Valuation

Our $92 target is derived from a sum-of-the-parts risk-adjusted NPV: HLX-201 MASH ($61/share), Ventrexa royalty stream ($19/share), early pipeline HLX-310 and HLX-415 ($6/share) and net cash ($6/share). We use a 10% WACC and 2% terminal decline post loss of exclusivity.

Key Risks

(i) HELIOS-3 fails to meet its fibrosis-improvement endpoint; downside case $38/share. (ii) Competitive pressure from injectable GLP-1/FGF21 combinations. (iii) Dilution risk from a capital raise ahead of data. (iv) Hepatic safety signals – one Grade 3 ALT elevation was observed in Phase 2b.

Analyst Takeaways for Coverage Bankers

Management has signalled at our September Healthcare Conference that they prefer a **convertible note** over straight equity to limit dilution, and are open to a **regional ex-US licensing deal** (Japan/China) for HLX-201 that could bring $150–250M upfront. These are both potential mandates for the firm.